

Pricing For Competitive Advantage



"If you wish to draw pleasure out of life,
You must attach value to the world."
- Goethe to young Schopenhauer (1814)



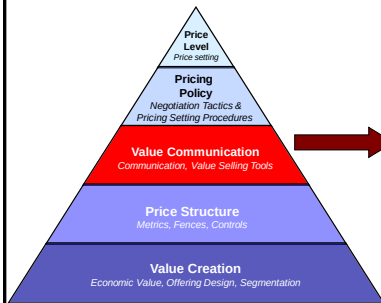
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LPS

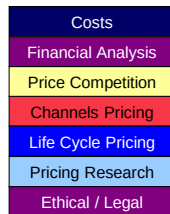
Perspectives on Pricing

- ❑ Prices should cover firm's costs & earn a fair rate of return
- ❑ Prices should reflect the customer's willingness to pay
- ❑ Price cutting is a useful marketing tool for gaining sales
- ❑ The purpose of good marketing is to avoid competing on price

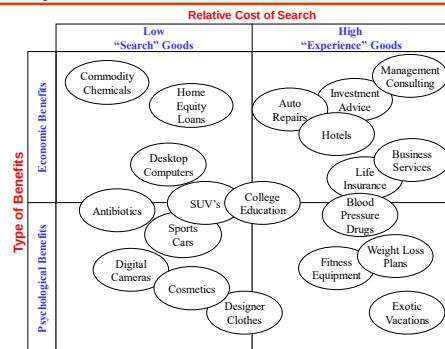
The Pricing Strategy Pyramid

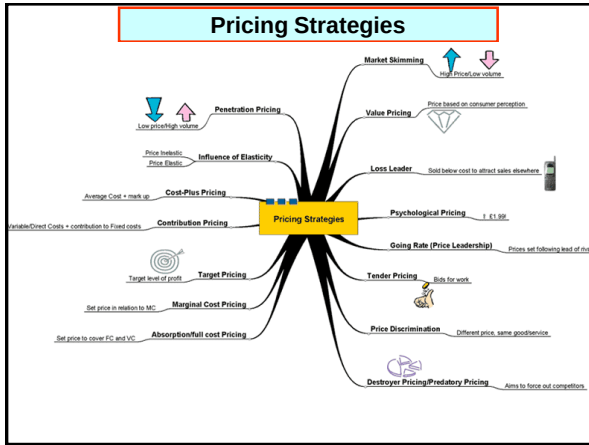


Pricing Skills



Simple Search Goods with Economic Benefits





Penetration Pricing

- Price set to 'penetrate the market'
- 'Low' price to secure high volumes
- Typical in mass market products – chocolate bars, food stuffs, household goods, etc.
- Suitable for products with long anticipated life cycles
- May be useful if launching into a new market

Market Skimming

Thin-shaped television
Plasma screens: Currently at high prices but for how long?

- High price, Low volumes
- Skim the profit from the market
- Suitable for products that have short life cycles or which will face competition at some point in the future (e.g. after a patent runs out)
- Examples include: Playstation, jewellery, digital technology, new DVDs, etc.

Value Pricing

BMW At The Frankfurt Auto Show.
Companies may be able to set prices according to perceived value.

- Price set in accordance with customer perceptions about the value of the product/service
- Examples include status products/ exclusive products

Loss Leader

- Goods/services deliberately sold below cost to encourage sales elsewhere
- Typical in supermarkets, e.g. at Christmas, selling bottles of gin at £3 in the hope that people will be attracted to the store and buy other things
- Purchases of other items more than covers 'loss' on item sold
- e.g. 'Free' mobile phone when talking on a contract package



Psychological Pricing

- Used to play on consumer perceptions.
- Classic example - £9.99 instead of £10.99!
- Links with value pricing – high value goods priced according to what consumers THINK should be the price.

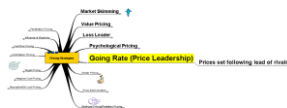


A photograph of a person standing next to a large screen displaying a price table for mobile phones. The table shows prices for different storage capacities (16 GB, 32 GB, 64 GB) and features (WIFI, WIFI + 3G).

	16 GB	32 GB	64 GB
WIFI	\$499	\$599	\$699
WIFI + 3G	\$629	\$729	\$829

Going Rate (Price Leadership)

- In case of price leader, rivals have difficulty in competing on price – too high and they lose market share, too low and the price leader would match price and force smaller rival out of market
- May follow pricing leads of rivals especially where those rivals have a clear dominance of market share
- Where competition is limited, 'going rate' pricing may be applicable – banks, petrol, supermarkets, electrical goods – find very similar prices in all outlets.



Tender Pricing



Air refuelling

A European consortium led by Airbus recently won a contract to supply refuelling services to the RAF – priced at £13 billion!



- Many contracts awarded on a tender basis
- Firm (or firms) submit their price for carrying out the work
- Purchaser then chooses which represents best value
- Mostly done in secret

Price Discrimination



Inter-City 125

Prices for rail travel differ for the same journey at different times of the day.



- Charging a different price for the same good/service in different markets
- Requires each market to be impenetrable
- Requires different price elasticity of demand in each market

Destroyer / Predatory Pricing

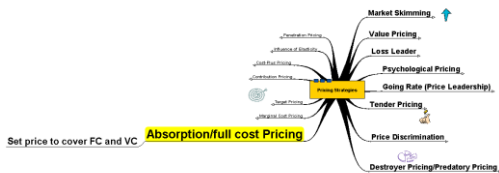


Microsoft – have been accused of predatory pricing strategies in offering 'free' software as part of their operating system – Internet Explorer and Windows Media Player – forcing competitors like Netscape and Real Player out of the market.



- Deliberate price cutting or offer of 'free gifts/products' to force rivals (normally smaller and weaker) out of business or prevent new entrants
- Anti-competitive and illegal if it can be proved

Absorption/Full Cost Pricing



Set price to cover FC and VC

- ❑ Full Cost Pricing – attempting to set price to cover both fixed and variable costs
- ❑ Absorption Cost Pricing – Price set to 'absorb' some of the fixed costs of production

Marginal Cost Pricing



Set price in relation to MC

- ❑ Marginal cost = the cost of producing ONE extra or ONE fewer item of production;
- ❑ MC pricing allows flexibility
- ❑ Relevant in transport industry where fixed costs may be relatively high.

Marginal Cost Pricing



Aircraft flying from Bristol to Edinburgh – Total Cost (including normal profit) = £15,000 of which £13,000 is fixed cost*

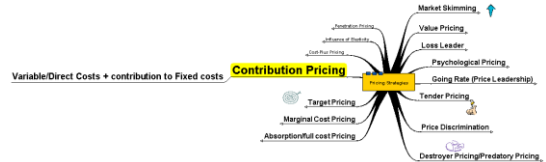
Number of seats = 160, average price = £93.75

MC of each passenger = $2000/160 = £12.50$

If flight not full, better to offer passengers chance of flying at £12.50 and fill the seat than not fill it at all!

**All figures are estimates only*

Contribution Pricing



Contribution = Selling Price – Variable Costs (direct costs)

- ☐ Prices set to ensure coverage of variable costs and a 'contribution' to the fixed costs
- ☐ Similar in principle to marginal cost pricing
- ☐ Break-even analysis might be useful in such circumstances

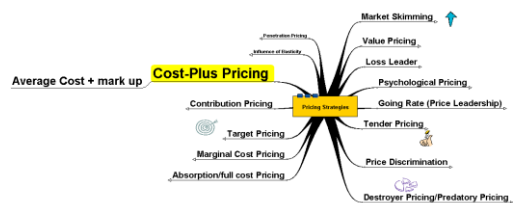
Target Pricing



- ☐ Setting price to 'target' a specified profit level
- ☐ Estimates of cost and potential revenue at different prices, and thus the break-even have to be made, to determine the mark-up

$$\text{Mark-up} = (\text{Profit} / \text{Cost}) \times 100$$

Cost-Plus Pricing



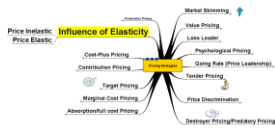
Calculation of the average cost (AC) plus a mark up
AC = Total Cost / Output

Influence of Elasticity

- Any pricing decision must be mindful of the impact of price elasticity
- The degree of price elasticity impacts on the level of sales and hence, revenue
- Elasticity focuses on proportionate (percentage) changes

Price Elasticity of Demand =

$$\frac{(\% \text{Change in Quantity Demanded})}{(\% \text{Change in Price})}$$



Influence of Elasticity

Price Inelastic:

% change in quantity demanded
< % change in price

e.g. 5% increase in price would be met by a fall in sales of something less than 5%

- Revenue would rise

e.g. 7% reduction in price would lead to a rise in sales of something less than 7%

- Revenue would fall

Price Elastic:

% change in quantity demanded
> % change in price

e.g. 4% rise in price would lead to sales falling by something more than 4%

- Revenue would fall

e.g. 9% fall in price would lead to a rise in sales of something more than 9%

- Revenue would rise



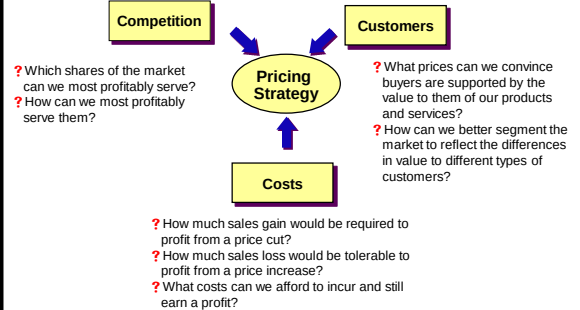
5 Types of Price Elasticity of Demand

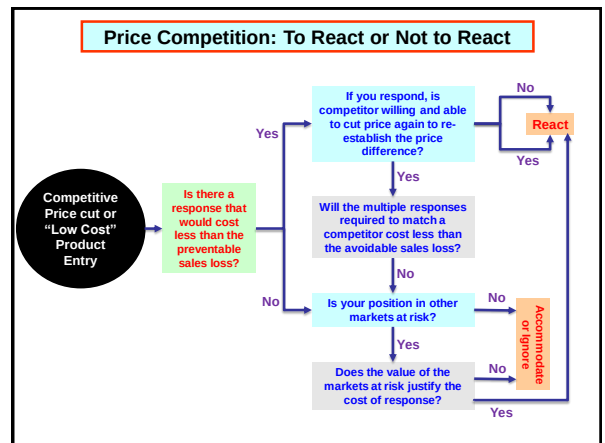
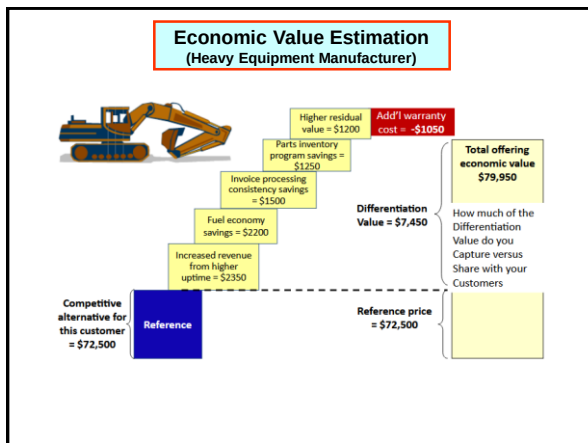
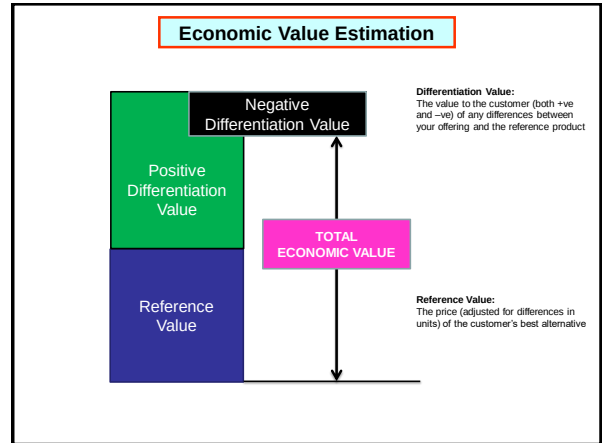
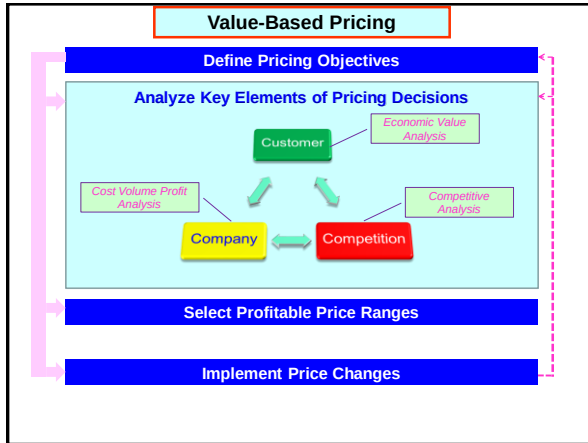
Pricing Strategies: A Summary

Market Skimming	High Price / Low volume
Value Pricing	Price based on consumer perception
Loss Leader	Sold below cost to attract sales elsewhere
Psychological Pricing	£1.99!
Going Rate (Price Leader)	Prices set following lead of rivals
Tender Pricing	Bids for work
Price Discrimination	Different price, same good/service
Destroyer / Predatory Pricing	Aims to force out competitors
Absorption/full cost Pricing	Set price to cover Fixed and Variable Costs
Marginal Cost Pricing	Set price in relation to Marginal Costs
Target Pricing	Target level of profit
Contribution Pricing	Variable/Direct Costs + contribution to Fixed costs
Cost-Plus Pricing	Average Cost + mark up
Influence of Elasticity	Price Inelastic; Price Elastic
Penetration Pricing	Low price to secure high volumes

Strategic Pricing

The goal of pricing strategy should be to maximize long run profitability





Everything is worth what its purchaser will pay for it.
Publius Syrus, 1st Century B.C.

Nescience of Pricing

Pricing: Two Concepts

Concept 1: It's All About Value

- ❑ No matter what product or service you sell, every pricing decision should be based on the value customers place on your product.
- ❑ Need to understand how customers value a product (as well as optional features).
- ❑ Even minor features (e.g., custom or rush jobs) that may not cost you very much more to offer are like thunderstorm clouds on the horizon, signals that customers are willing to pay higher prices.



How much hidden profits are you giving away because you are not increasing your prices at the first hint of rain?

Pricing: Two Concepts

Concept 2: Different Customers Have Different Valuations

- ❑ The opening price is usually low enough to create a fast paced one-upmanship amongst bidders. A lot of people are willing to participate when the price is low. As auctions heat up, bidders slowly drop out. The item is finally sold to the lone standing bidder, who announces with an air of triumph that she is willing to pay more than anyone in the room.
- ❑ An auction illustrates the key to unlocking your hidden profits: for any product, some people are willing to pay more than others.



The key to understanding pricing is recognizing that different customers are willing to pay different prices for your product.

Multi-Price Mindset

A multi-price mindset is a series of strategies that enables you to profit from each customer's unique product valuation.

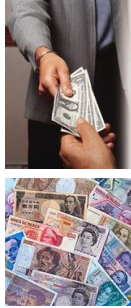
It is the key to profits and growth for the following reasons:

- Price is aligned with value.
- You can make higher profits from customers who value the product/service the most.
- Working in conjunction with the law of demand, this mindset increases your customer base through lower prices and offering new selling strategies.

Multi-Price Mindset: 3 Strategies

The fact that different customers will pay different prices for a product is why pricing is a robust business strategy, not a search for the “perfect price.”

- ❑ Differential Pricing
- ❑ Versioning
- ❑ Segment-Based Pricing



Differential Pricing

It allows you to sell your product at different prices to different customers.

Example: Ticket-selling in cinema theaters.



Versioning

It offers a line of products, based on a core product, designed to attract new customers and implicitly reveal their valuations.

Example: Regular or Premium petrol/diesel.

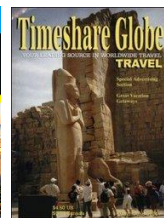
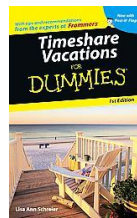


Segment-Based Pricing

It can target dormant customers and activate them.

(New pricing strategies to attract new customers)

Example: Time-share pricing in vacation-home building industry.



 Multi-Price Mindset (Example: Hyatt Regency)	
Differential Pricing	- Customers calling toll-free reservations line are given a quote of \$225 per night. - Bargain hunters seeking a discounted rate can book online and save \$10 with a nonrefundable internet only price of \$215. - For travelers showing AAA card, price drops to \$202.50. - Senior citizens can stay at the resort for \$180. - Discounted rates offered to corporations and conferences that pledge a minimum number of paid nights per year.
Versioning	- Regular rooms are categorized as "Guest," "Deluxe," and "Ocean View". - Suite offerings range from Junior to Presidential.
Segment-Based Pricing	- The hotel can be booked as part of vacation package that includes airfare, accommodation, and car rental. - It offers \$750 two-night "Romance Package" that includes accommodation in a suite, a bottle of champagne, a \$100 food and beverage credit, and complimentary valet parking.

 Multi-Price Mindset (Example: Dell)	
Differential Pricing	- Dell divides its customers into four categories: home and home office; small businesses; medium and large company; and government, health care and educational organizations. - It tailors prices, promotions, and types of products offered to each of the customer categories. - Dell offers a variety of coupons (distributed via email, regular mail, websites and newspaper promotions) and rebates that price-sensitive customers can take advantage of.
Versioning	- While customizing their computers, customers are offered different choices of varying prices on a wide variety of components including hard-drive capacity, processor speed, memory size, CD/DVD, and delivery options. - Company also sells enhanced service plans such as next-day repair, spyware/virus removal, wireless home installation, and accident-damage insurance.
Segment-Based Pricing	- In addition to selling products, Dell offers leasing plans. This targets customers who prefer leasing over making outright purchases. - It also bundles products (computer, monitor, printer) to serve customers who prefer the one-stop shopping convenience.



The best way to rent movies.

Plans start at only \$9.99 a month!







Free shipping - Both ways

No Late Fees - Keep DVDs as long as you want

Over 60,000 Titles - Classics to new releases

Cancel anytime

Netflix: Multi-price Mindset (Proposed)	
Differential Pricing	Coupons (via pod ads, mail, etc.) can be used to attract customers who have refrained from purchasing because the price has been too high for them. Customers who redeem coupons are demonstrating their price-sensitivity.
Versioning	- In addition to allowing three films one at a time, it can offer options to check out two (for a lower price) or four (for a higher price). - Instead of allowing DVD to be held for an unlimited time (which is especially problematic when everyone wants the new releases), Netflix can create lower-priced option that limits the amount of time movies can be kept. - Customers can pay a premium to receive priority preference (over regular customers) for their requested movies.
Segment-Based Pricing	- In addition to offering its unlimited-usage subscription, Netflix can serve customers who value its convenience but do not want an unlimited supply of movies. For these customers, the company can offer two-week rentals (no long-term contract required). - Higher priced bundles (e.g., party packages that include popcorn and candy) can be sold.

Differential Pricing Techniques

- i. **Customer characteristics:** Age, gender, organizational affiliations, and proximity to an attraction.
- ii. **Hurdles:** Coupons, sales, memberships, size and price-conscious actions.
- iii. **Time:** Willingness to pay a premium to have a product immediately.
- iv. **Quantity:** Lower prices as an incentive for purchasing larger quantities of a product.
- v. **Distribution:** Different prices can be charged based on where customers make purchases.
- vi. **Mixed Bundling:** Selling products both individually and discounted bundles can enable you to charge differently.
- vii. **Negotiation:** Individually negotiating with customers.

Versioning Techniques

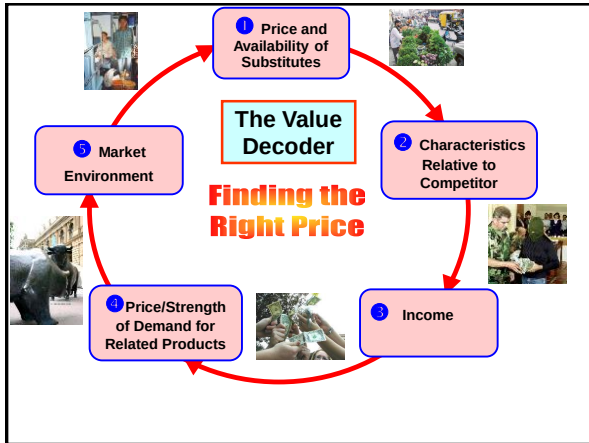
- i. **A La Carte:** Can you offer a menu of options to version your product?
- ii. **More is better:** Can you offer products with "more" (ex: higher quantity, quality, support, or experience) to generate higher margins and/or new products?
- iii. **Less can be profitable:** Can you offer "less" (ex: lower quantity, quality, support, or experience) to attract new (usually value-conscious) customers?
- iv. **Add or subtract features:** Can you change your product's attributes in a manner that will attract new customers?
- v. **Expedited service:** Can you provide faster service to your customers?
- vi. **Avoid the wait:** Can you offer options that allow customers to go to the head of the line?
- vii. **Uncertainty:** Can different levels of uncertainty (i.e., reducing consumer risk or your risk) be used to version your product?

Segment-Based Pricing Techniques...

- i. **Interval ownership:** Can you attract new customers by subdividing your product into smaller increments?
- ii. **Bundling:** Can bundling be used to grow your customer base by promoting convenience or getting customers to purchase products they otherwise would not buy?
- iii. **Leasing:** Can the "trading up," convenience, and financing attributes of leasing draw new customers to your product?
- iv. **Prepaid:** Can the features of prepaid pricing (ex: impose discipline, are easier to purchase, provide flexibility, serve the credit-challenged) attract new customers?
- v. **Rental:** Can you use rentals to serve new customers who want to use your product for a short period of time?

Segment-Based Pricing Techniques

- vi. **Two-part pricing:** Can two-part pricing attract new customers by stimulating purchases and serving those with different valuations?
- vii. **Hurdles:** Can hurdles draw in new clients who use your service (and value it) differently than your current customers do?
- viii. **Payment plans:** Can payment plans that better match customers' cash flows draw in new clients?
- ix. **Customized:** Can you use customized pricing to steal clients from rivals (who offer standard prices) as well as serve a new set of customers?
- x. **All-you-can-eat:** Can the convenience and peace of mind provided by all-you-can-eat pricing attract new customers?



Value Decoder Analysis (Pricing an aircraft model launched by a new entrant)		
STEP	VALUE DECODER	PRICE ITEM
Step 1	Price and Availability of Substitutes •Competitor's price	\$340,000
Step 2	Characteristics Relative to Competitors •Add \$75K for performance attributes and \$30K for safety features •Subtract \$15K because of less-desirable brand name	\$105,000 (\$15,000)
Step 3	Income •Add \$25K due to tax breaks	\$25,000
Step 4	Price/Strength of Demand for Related Products •Subtract \$20K because of higher landing rights	(\$20,000)
Step 5	Market Environment •Add \$10K because of public-relations campaign	\$10,000
New Aircraft Price		\$445,000

Step 1
Price and Availability of Substitutes Competitor's price

- ☐ Your price is based on what close competitors are charging.
- ☐ How much are they charging?
- ☐ If they change their prices, how will you change yours?
- ☐ How will competitors react if you change your price?



Step 2
Characteristics Relative to Competitors

- ☐ List all of your product's competitors.
- ☐ How does your product stack up to these rivals in terms of the six characteristics:
 - i. Brand
 - ii. Convenience
 - iii. Quality
 - iv. Attributes
 - v. Service, and
 - vi. Style
- ☐ Accounting for these differences in characteristics, what price premium (or discount) should you set relative to these competitors?



Step 3 Income

- ❑ How much money do your customers make?
- ❑ How does their income affect the price they are willing to pay for your product?



Step 4

Price/Strength of Demand for Related Products

- ❑ What other goods affect your product's value?
- ❑ What effect do these products have on your product's value?
(e.g., if their price goes down, how does the value of your product change?)



Step 5

Market Environment

- ❑ What changes in the market environment (fad, new information, unexpected event, timing) affects your product's value?
- ❑ Which of these market-environment changes are predictable?
- ❑ What others have a high probability of occurring?



Fairness in Pricing...

The four situations where fairness is relevant to pricing strategy

1. Customer Types

- ❑ How pricing literate are the customers?
e.g. High "captive-audience" value-based refreshment prices in theatres
- ❑ Pricing in entertainment industry: raising ticket prices for popular movies!
- ❑ Be conscious of how willing your customers are to accept a high price.

2. Relationships

- ❑ Establishment of profitable bond of trust between buyers and sellers.
- ❑ Customers tend to be amenable to price increases that are justified by higher costs.
e.g. Package delivery firms (Fedex); IT services industry
- ❑ The customer wrath caused by high prices can be muted by donating a portion of the profit to charities
e.g., Broadway play donation to 9/11 Twin Towers Fund).

Fairness in Pricing

The four situations where fairness is relevant to pricing strategy

3. Transparency

- ❑ Transparent price differences can create a backlash by alienation your most profitable customers.
- ❑ It may be best to curtail your differential pricing, if it's difficult to avoid being transparent.
- ❑ Pricing in textbook publishing industry.
e.g. USA (hardbound) vs. India (low-priced editions).

4. Essential Products with Few Substitutes

- ❑ If a product is essential (valuable to daily life), does it mean a company's profit margins should be constrained?
e.g. Increasing the price of shovels during a blizzard; discount prices of life-saving drugs for patients lacking insurance coverage
- ❑ Need to consider both the legal and psychological consequences of raising prices.

Pricing As A Marketing Tool

- ☑ The Nine and Zero Effect
❖ Ex: \$7.99 seems lower than \$8
- ☑ Payments to Promote Satisfaction
❖ Ex: Club membership fees (high attendance around payment schedule)
- ☑ Prestige Pricing
❖ Ex: Absolut Vodka
- ☑ Anchor Pricing
❖ Ex: Private-label industry (branded products vs unbranded)



Pricing as a Marketing Tool

- ☑ Quantity-Suggestive Pricing
❖ Ex: Noodle packets (pairs or dozens); Soft drinks
- ☑ Large Vs Small Losses
❖ Ex: Installment prices
- ☑ Stuffing the Bundle to Convey Value
❖ Ex: Fast-television pitches for selling knives or vacuum cleaners
- ☑ Everyone Loves a Bargain
❖ Ex: Discount banners [poor need low prices (value); wealthy love low prices (psych.)]



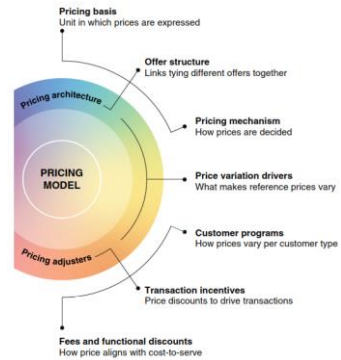
Pricing: Summary of Ideas

- ☑ The value that your product or service offers consumers.
- ☑ Profit-margin data and incentives for the sales force to sell your most profitable products. Inquire about what other information is needed to help make more profits for the company.
- ☑ What policies (pricing, promotions, metrics to evaluate employee performance, and compensation) are conducive to making your company the most money, and which ones aren't.
- ☑ Finding and fixing current profit leaks.
- ☑ Does your price reflect how customers value your product? What new attributes will customers value?

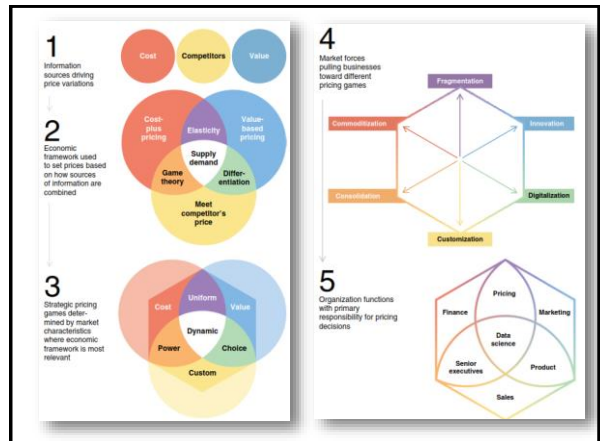
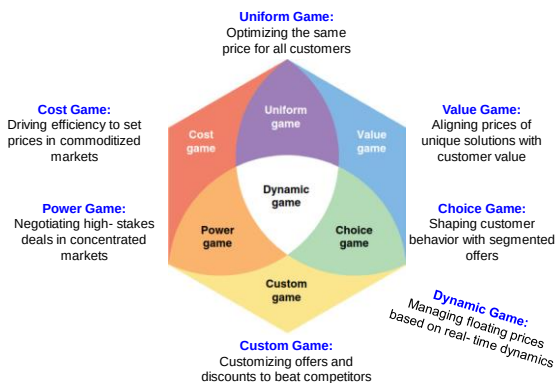
Pricing: Summary of Ideas

- ☑ Differential pricing and what types of differential-pricing tactics can be implemented.
- ☑ Versioning and ideas on how to apply it to your product.
- ☑ Segment-based pricing and ideas on identifying dormant customers, as well as new pricing strategies that activate your dormant customers.
- ☑ Other strategic or fairness issues that should be factored into your price, and psychological tactics (ex: use quantity suggestive pricing – two for \$5 instead of \$2.50 each) that can make your price more appealing to customers.

The Elements of a Pricing Model



The Strategic Pricing Hexagon



Games in the Strategic Pricing Hexagon

Framework	Buyers	Sellers	Offers	Game
Value-based pricing	Fragmented customer base	Clear leader	Unique-differentiated offers with far superior value proposition	Value
Elasticity	Broad base of buyers with similar needs	Fragmented competitors of similar sizes	Narrowly differentiated	Uniform
Cost-plus pricing	Major buyers with specific needs	Extremely fragmented with no clear leader	Commoditized offers with high proportion of variable costs	Cost
Game theory	Concentrated, sophisticated buyers with similar needs	Concentrated competitors with similar market share	Technical standards leading differentiation	Power
Price to competition	Broad customer base of very different sizes	Highly concentrated sellers competing for most deals	Offers customized from a large set of options	Custom
Differentiation	Fragmented customer base with diverse needs	Concentrated, often with clear leader	Broad offer lineup with low marginal cost	Choice
Supply demand	Many buyers with different and fluctuating needs	Can be concentrated, but not necessarily	Perishable inventory or unpredictable and fluctuating demand	Dynamic

Generative AI Costs: Complex Landscape

- ❑ **Inference Cost:** Cost of calling a large language model (LLM) to generate a response.
- ❑ **Fine-tuning Cost:** The process of adapting a pretrained generative AI model to a specific task or domain.
- ❑ **Prompt Engineering Cost:** The process of structuring text that can be interpreted and understood by a GenAI model.
- ❑ **Cloud Expense:** Hosting costs of GenAI applications while taking a holistic view of the overall cloud architecture posts the implementation.
- ❑ **Talent Costs:** Develop medium and long-term talent plans to adapt to the evolving work landscape driven by GenAI.
- ❑ **Operation Costs:** A holistic MLOps lifecycle encompasses pivotal stages such as fetching data, engineering features, training, testing, storing, and model deployment.

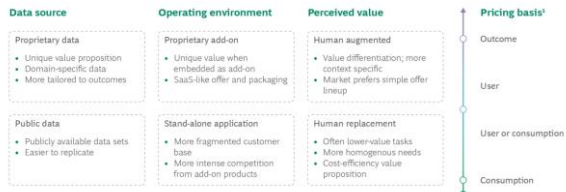
Generative AI: Potential Hidden Costs

- ✓ **Infrastructure Overhaul:**
 - Legacy systems, upon integration with GenAI, might necessitate substantial modifications, exerting a significant impact on costs.
 - Training and deploying GenAI models can be immensely computationally intensive, prompting the need for a robust infrastructure overhaul.
- ✓ **Data Security:**
 - Preventing data and intellectual property leakage, addressing the risks associated with malicious content dissemination and targeted attacks, and countering misinformation, copyright infringement, biases, and discrimination.
- ✓ **Ethical Considerations:**
 - Addressing biases, ensuring transparency, and integrating fairness into GenAI systems come with additional expenses.

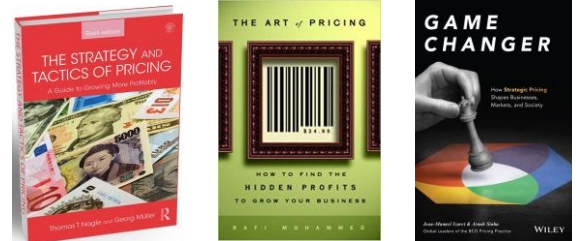
GenAI Pricing: Competitive Landscape

	Foundation models	GenAI-powered end-use applications	Automation workflows
Pricing model	Consumption pricing (price per token, number of characters, and so on) is typically used by LLMs players; it aligns with their cost basis.	User-based pricing is typically used for solutions focused on increasing user productivity but not fully automating all their tasks. Outcome-based pricing is based on value generated for the customer and often leveraged when human users are fully displaced.	Outcome-based pricing will be the dominant metric due to automation.
Examples	OpenAI's GPT-4 API priced per token Anthropic's Claude 2 API priced per token Google's Gemini API priced per token	OpenAI's ChatGPT app priced per user per month GitHub's Copilot add-on priced per user per month Ada's AI chatbot priced per conversation resolved	Preliminary products Existing products (such as AutoGPT) are not commercialized in function and are open source and free.

GenAI Pricing Model: Key Factors for Choosing



¹Per-user models are usually subscriptions offered within stand-alone, good-better-best, or add-on architectures. Consumption models are usually per token.



Thank You